(a) For charging interest on drawings

Date	Particulars	L.F.	Debit ₹	Credit ₹
	Partner's capital/ current A/c Dr.		xxx	
	To Interest on drawings A/c			xxx

Note: Interest on drawings is due from the partner to the firm and hence partner's capital/ current account is debited and interest on drawings account is credited.

(b) For closing interest on drawings account

Date	Particulars	L.F.	Debit ₹	Credit ₹
	Interest on drawings A/c Dr.		xxx	
	To Profit and loss appropriation A/c			xxx

3.7.4 Calculation of interest on drawings

Interest on drawings can be computed by following either direct method or product method. Also if the partners withdraw fixed amount at fixed time interval, interest on drawings may be calculated on the basis of the average period method. Based on the dates of drawings and the amount of drawings, different methods can be followed for calculating interest on drawings.

(i) Direct method

Interest is calculated on drawings for the period from the date of drawings to the date of closing date of the accounting year. The following formula is used to compute the interest on drawings:

Interest on drawings = Amount of drawings × Rate of interest × Period of interest

Period of interest refers to the period from the date of drawings to the closing date of the accounting year. This method is suitable when different amounts are withdrawn at different time intervals.

Illustration 11

Velan is a partner who withdrew ₹ 20,000 on 1st April 2018. Interest on drawings is charged at 10% per annum. Calculate interest on drawings on 31st December 2018 and pass journal entries by assuming fluctuating capital method.

Solution

Interest on drawings = Amount of drawings x Rate of interest x Period of interest

$$= ₹\ 20{,}000 \times \frac{10}{100} \times \frac{9}{12} = ₹\ 1{,}500$$

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